

Key Indicators:

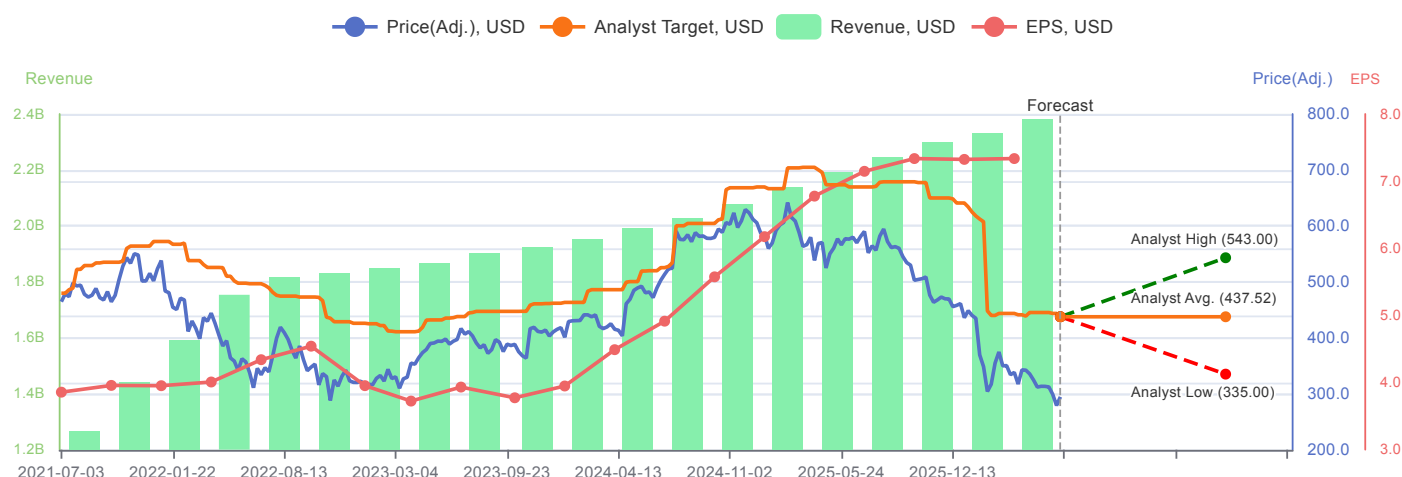
🕒 Date: Jul 3, 2026

Stock Price

\$318.1

52-Week Range	\$270.7 - \$621.3	EPS Revisions (90d)	↑ 2 ↓ 19	Revenue	\$2.4B
Market Cap	\$13.4B	PEG Ratio	4.61	Revenue Forecast	\$2.6B
P/E Ratio	42.5	FCF Yield	5.13	1-Year Change	-46.1%
P/E (Fwd.)	24.6	EV / EBITDA	28.9	Div Yield	0%
EPS Actual	11.3	Book / Share	83.8	Div. Growth Streak	-
EPS Estimate	12.9	Beta (5Y)	0.82	Next Earnings	2026-07-29

5-Year Chart



Executive Summary

Warren AI

Fair Value

Upside	41.4%
Fair Value	\$449.8

Tyler Technologies, Inc. (NYSE: TYL) is a leading U.S. software company specializing in integrated technology solutions and services exclusively for government and public sector entities, including local and state governments, courts, public safety organizations, and school districts.

Tyler Technologies holds a dominant market position in government software, serving nearly 50,000 installations across 16,000 client locations, including 22 of the 25 largest U.S. counties and all 25 largest cities, with a remarkable **98% client retention rate maintained over 28 years**. The company is executing an ambitious cloud and SaaS transition strategy, having already migrated 5,000 clients to AWS and exiting all proprietary data centers by end of 2025.

Q1 2026 performance was strong, with record revenues of \$613.5 million (beating the \$608.36M forecast), EPS of \$3.09 (vs. \$3.00 expected), and free cash flow more than doubling year-over-year. *SaaS revenues grew 23.5% to \$222.4 million, marking 21 consecutive quarters of 20%+ SaaS growth.* Management raised full-year 2026 revenue guidance, partly driven by the For The Record acquisition (~\$30M contribution). The company targets exceeding \$1 billion in free cash flow by 2030.

On the capital allocation front, Tyler closed a **\$1.44 billion convertible notes offering** at 0.50% interest due 2031, with analysts at D.A. Davidson interpreting this as signaling anticipation of larger M&A targets. Year-to-date, the company repurchased ~2.1 million shares (~\$667M). The stock trades near its 52-week low, down approximately 36% over six months, with a Fair Value estimate of \$449.80 suggesting meaningful upside. The analyst consensus median target is \$437.52, with a high of \$543.

Key risks include reliance on government budgets, execution challenges in the SaaS transition, intensifying competition, potential dilution from convertible notes, and 19 downward EPS revisions in the past 90 days. Despite premium valuation metrics, forward P/E compresses meaningfully to ~24.6x for FY26 and ~21.3x for FY27, reflecting accelerating earnings growth. The company carries a perfect Piotroski Score of 9, underscoring strong financial health.

Financial Health

7.6/10
Growth Rating
6.7/10
Profitability Rating
6.7/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	31/12	31/12	31/12	31/12	31/12
Capitalization	\$17.6B	\$24.7B	\$19.5B	\$13.4B	\$13.4B
P/E Ratio	111.4	104.3	62.0	24.6	21.3
Div. Yield	0	0	0	0	-
Capitalization / Revenue	9.16	11.9	8.50	5.25	4.78
EV / Revenue	9.49	11.9	8.36	5.11	4.65
EV / EBITDA	57.6	67.2	44.5	17.6	15.6
EV / FCF	61.4	55.3	56.8	-	-
FCF Yield	1.91	2.12	3.17	-	-
Price / Book	6.17	7.54	5.42	3.77	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

- Has a perfect Piotroski Score of 9
- Management has been aggressively buying back shares
- High shareholder yield
- Significant return over the last week
- Cash flows can sufficiently cover interest payments
- Analysts predict the company will be profitable this year
- Profitable over the last twelve months
- 15 analysts have revised their earnings downwards for the upcoming period
- Trading at a high earnings multiple
- Trading at a high P/E ratio relative to near-term earnings growth
- Trading at a high EBIT valuation multiple
- Trading at a high EBITDA valuation multiple
- Stock has taken a big hit over the last six months
- Operates with a moderate level of debt
- Does not pay a dividend to shareholders

Analyst Projections:

Analyst EPS Forecasts

Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2026	12.95	13.6%	24.6x	22
2027	14.9	14.8%	21.3x	22
2028	17.03	15.6%	18.7x	9

EPS Revisions Q2 2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.0% for EPS from \$2.78 per share to \$2.78 per share over the last 12 months.

EPS Revisions FY2026

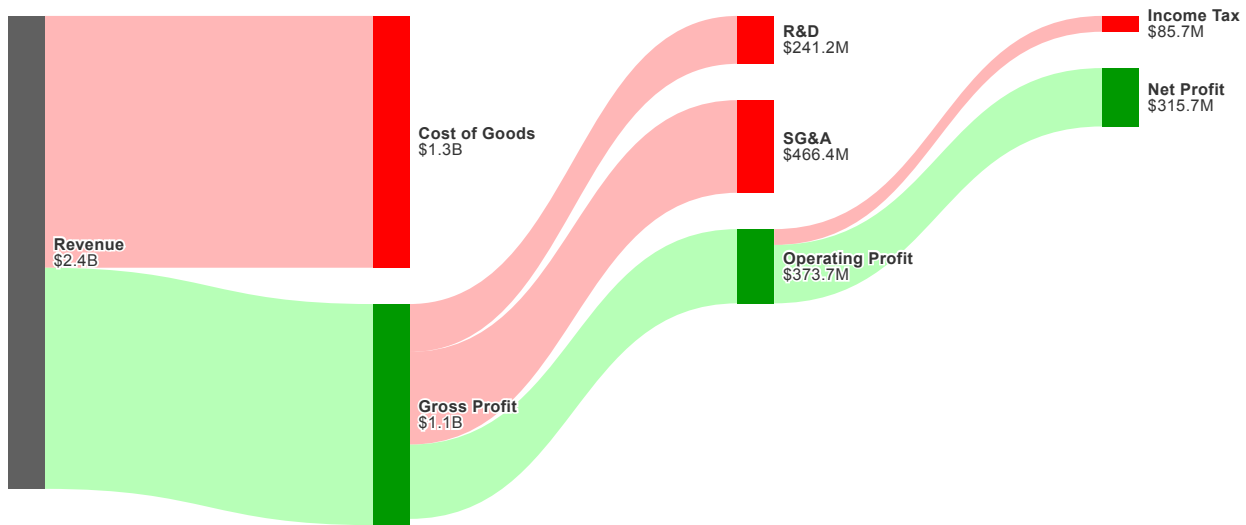


The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 2.1% for EPS from \$11.18 per share to \$11.41 per share over the last 12 months. The company is expected to report earnings for Q2, 2026, on July 29, 2026.

Latest Ratings

Date	Analyst	Rating	Target
Jul 01, 26	Truist Securities	Buy	\$440
Jun 23, 26	JPMorgan	Buy	\$525
Jun 22, 26	Truist Securities	Buy	\$440
Jun 12, 26	Citizens	Buy	\$500
Jun 10, 26	DA Davidson	Buy	\$460
Jun 10, 26	Stifel	Buy	\$400
Jun 10, 26	Cantor Fitzgerald	Hold	\$340
Jun 10, 26	Barclays	Buy	\$425
Jun 04, 26	Piper Sandler	Buy	\$543
May 13, 26	DA Davidson	Buy	\$460
May 01, 26	Baird	Buy	\$455
May 01, 26	Cantor Fitzgerald	Hold	\$360
May 01, 26	Evercore ISI	Hold	\$375
May 01, 26	Barclays	Buy	\$420
Apr 30, 26	Truist Securities	Buy	\$440
Apr 22, 26	TD Cowen	Buy	\$450
Apr 14, 26	DA Davidson	Buy	\$460
Apr 10, 26	Truist Securities	Buy	\$400
Apr 10, 26	BTIG	Buy	\$420

Y LTM Financials:



* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	1,850	1,951	2,137	2,332	2,380
Operating Income	214.2	218.5	299.5	358.4	373.7
Net Income to Stockholders	164.2	165.9	263.0	315.6	315.7
Shares Outstanding	41.6	42.1	42.8	43.0	42.2
Diluted EPS	3.87	3.88	6.05	7.20	7.24
EBITDA	313.2	323.0	385.6	434.8	454.5

Balance Sheet

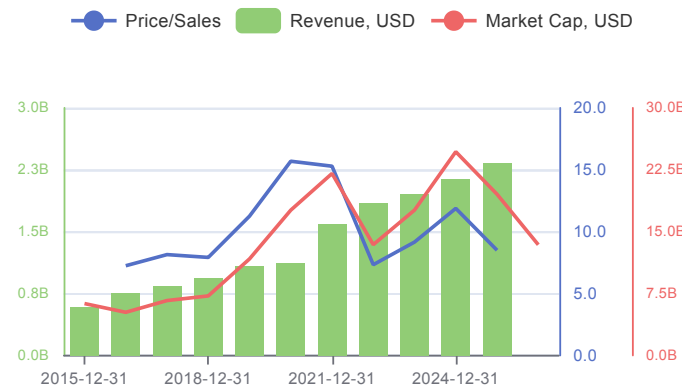
Date	2022	2023	2024	2025	LTM
Total Current Assets	847.2	860.6	1,440	1,843	1,041
Total Assets	4,687	4,676	5,180	5,638	4,798
Total Current Liabilities	889.7	1,001	1,065	1,755	1,039
Total Liabilities	2,063	1,738	1,791	1,936	1,240
Total Equity	2,624	2,938	3,388	3,702	3,558
Total Debt	1,046	696.9	638.4	642.6	48.0

Cash Flow Statement

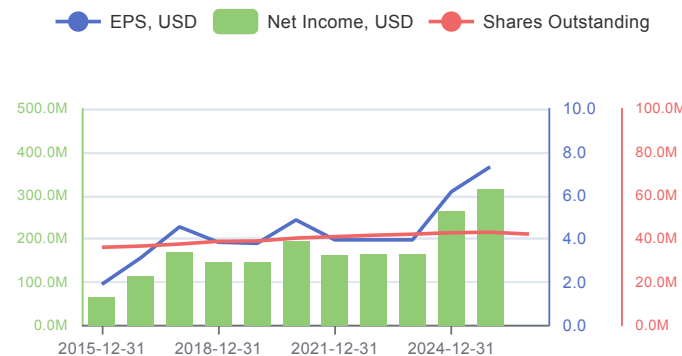
Date	2022	2023	2024	2025	LTM
Cash from Operations	381.5	380.4	624.6	653.5	704.6
Cash from Investing	-172.5	-77.0	-67.6	-222.5	-70.3
Cash from Financing	-344.2	-311.8	22.2	-160.4	-1,024
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

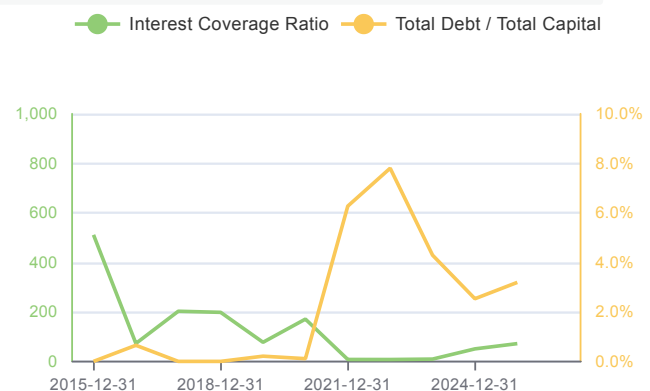
Revenue, Market Cap, Price/sales



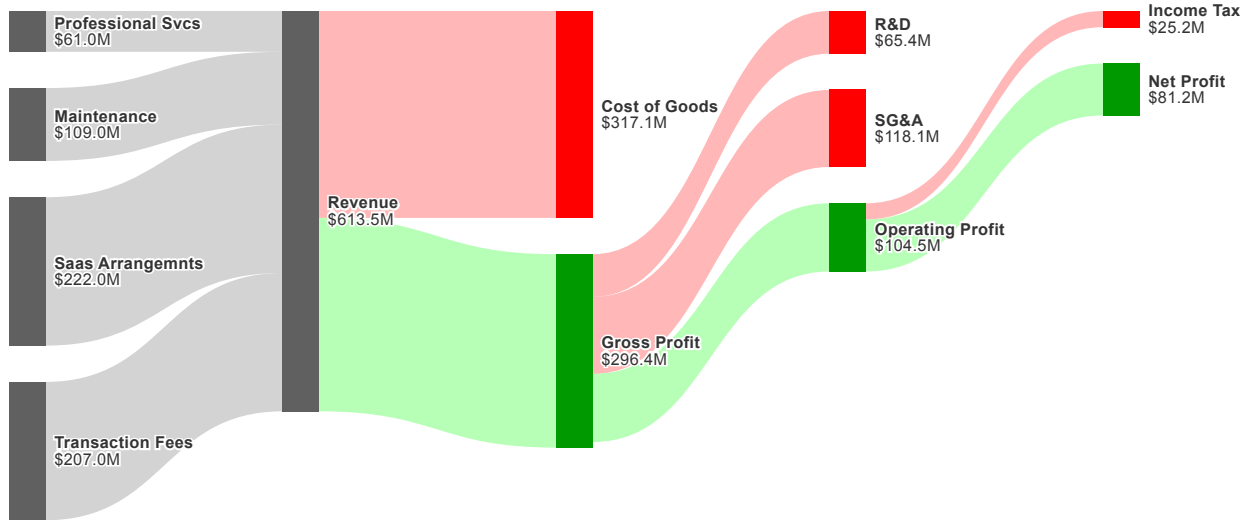
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



* Revenue segments are based on data from 2026-03-31

* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Revenue	565.2	596.1	595.9	575.2	613.5
Operating Income	89.2	95.6	97.9	75.7	104.5
Net Income to Stockholders	81.1	84.6	84.4	65.5	81.2
Shares Outstanding	43.1	43.1	43.3	43.0	42.5
Diluted EPS	1.84	1.93	1.93	1.50	1.88
EBITDA	109.1	115.1	117.3	93.2	128.9

Balance Sheet

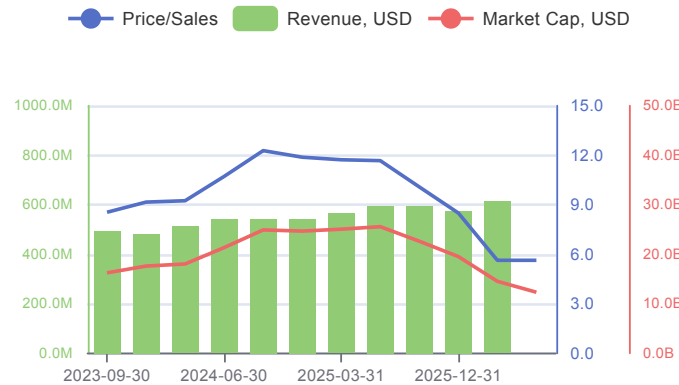
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Total Current Assets	1,466	1,723	1,737	1,843	1,041
Total Assets	5,192	5,425	5,457	5,638	4,798
Total Current Liabilities	1,561	1,672	1,690	1,755	1,039
Total Liabilities	1,679	1,791	1,854	1,936	1,240
Total Equity	3,512	3,634	3,602	3,702	3,558
Total Debt	640.1	641.7	643.4	642.6	48.0

Cash Flow Statement

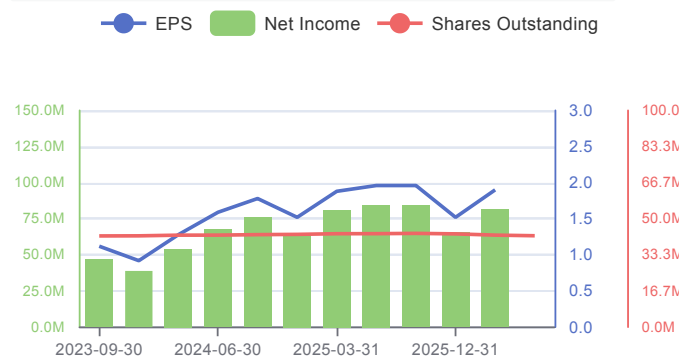
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Cash from Operations	56.2	98.3	255.2	243.9	107.3
Cash from Investing	-96.2	-12.8	-55.2	-58.4	56.0
Cash from Financing	1.0	-3.8	-153.4	-4.2	-862.6
Levered Free Cash Flow	0.0	0.0	0.0	0.0	104.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

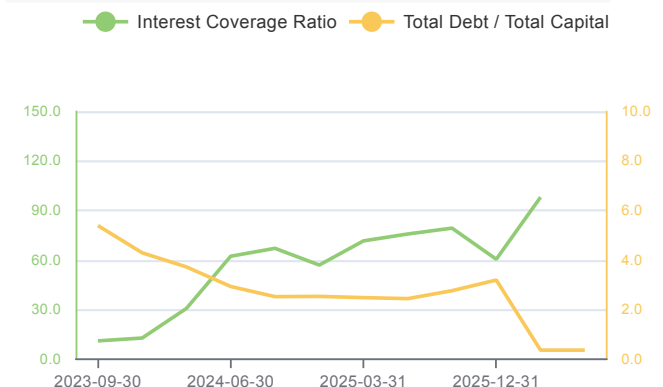
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

Price Momentum

Metric	TYL	Percentile	Score
Price % of 52 Week High	51.2%	26.6%	1.3
1 Week Price Total Return	8.1%	85.0%	4.3
2 Week Price Total Return	14.1%	92.6%	4.6
3 Week Price Total Return	6.4%	72.3%	3.6
1 Month Price Total Return	4.7%	75.1%	3.8
3 Month Price Total Return	-5.9%	31.6%	1.6
6 Month Price Total Return	-27.0%	19.7%	1.0
1 Year Price Total Return	-46.1%	12.6%	0.6
2 Year Price Total Return	-37.5%	20.1%	1.0
3 Year Price Total Return	-22.8%	33.8%	1.7
4 Year Price Total Return	-4.7%	43.4%	2.2
5 Year Price Total Return	-31.5%	42.1%	2.1

Peers

ROP	CRM
63.7%	60.5%
7.7%	4.9%
10.3%	9.4%
8.7%	0.1%
9.8%	-12.6%
2.0%	-10.8%
-16.0%	-34.2%
-35.9%	-38.4%
-34.1%	-35.3%
-22.2%	-20.2%
-6.8%	0.5%
-20.6%	-31.9%

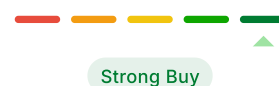
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	TYL	ROP	CRM
Market Cap	\$13.4B	\$36.8B	\$136.0B
Price % of 52 Week High	51.2%	63.3%	60.0%
Div Yield	0%	1.00%	1.06%
Beta	0.82	0.75	1.18
1 Year Return	-46.1%	-35.9%	-38.4%

Growth Metrics

Metric	TYL	ROP	CRM
Revenue Growth	8.68%	12.1%	11.0%
Revenue CAGR (5y)	15.9%	14.5%	14.3%
Net Income Growth	8.91%	14.4%	29.3%
Net Income CAGR (5y)	10.1%	10.1%	12.9%
Revenue Forecast CAGR (5y)	8.96%	10.7%	10.1%
Net Income Forecast CAGR (5y)	25.8%	11.7%	20.4%

Financial Statement Metrics

Metric	TYL	ROP	CRM
Revenue	\$2.4B	\$8.1B	\$42.8B
Gross Profit	\$1.1B	\$5.6B	\$33.3B
Operating Income	\$373.7M	\$2.3B	\$9.4B
Gross Profit Margin	46.8	69.4	77.6
Net Income to Common	\$315.7M	\$1.7B	\$8.0B
ROE	8.93	9.01	16.9
ROI	8.09	6.35	10.7
ROA	6.32	5.20	7.82
Total Assets	\$4.8B	\$34.6B	\$106.7B
Total Debt	\$48.0M	\$10.5B	\$42.5B

Valuation Metrics

Metric	TYL	ROP	CRM
P/E Ratio (LTM)	42.5	21.4	17.0
PEG Ratio	4.61	1.41	0.49
Price / Book	3.77	1.95	3.97
Price / LTM Sales	5.63	4.53	3.18
Analyst Upside	36.7%	23.6%	44.5%
Fair Value Upside	41.4%	3,663.0%	4,566.0%

Latest Insights

Warren AI

Bull Case

- SaaS revenues grew 23.5% YoY to \$222.4M in Q1 '26, marking 21 consecutive quarters of 20%+ SaaS growth, with ARR reaching \$2.15B (+10.4% YoY), demonstrating exceptional recurring revenue momentum.
- Tyler's 98% client retention rate, maintained over 28 years, reflects mission-critical switching costs and deep domain expertise, providing a highly stable and predictable revenue base.
- Management targets average products per customer expanding from ~3 to 10–12, representing a massive cross-sell and upsell opportunity within an already captive installed base of 16,000 client locations.
- The Socrata acquisition opens a judicial intelligence market estimated at \$200M (SAM) expanding to \$500M+ TAM, with potential to exceed \$1.5B through audio/transcript monetization, attorney access, and international expansion.
- D.A. Davidson (Buy, \$460 PT) views the \$1.44B convertible notes issuance as a signal that larger M&A targets may emerge over the next 1–2 years, potentially accelerating growth beyond organic projections.
- Forward P/E compresses from ~42x trailing to ~24.6x (FY26) and ~21.3x (FY27) as EPS is forecast to grow from \$12.95 (FY26) to \$17.03 (FY28), with the stock trading well below its Fair Value estimate of \$449.80.

Bear Case

- The stock has declined ~36% over six months and trades near its 52-week low of \$270.71, with 19 of 22 analysts revising EPS estimates downward in the past 90 days, signaling broad near-term concern.
- The \$1.44B convertible notes offering introduces meaningful debt and potential dilution risk; while capped calls raise the effective conversion price to ~\$655.77/share, the leverage adds financial complexity.
- Tyler's exclusive focus on the public sector creates concentration risk—government budget cuts, political shifts, or federal policy changes (e.g., DOGE-related uncertainty) could materially delay procurement and reduce bookings.
- Peak SaaS flip activity is not expected until 2027–2029, meaning near-term revenue recognition from cloud migrations may remain lumpy and below investor expectations, pressuring quarterly results.
- Competition from Oracle, SAP, Infor, and agile cloud-native niche players (e.g., CivicPlus, Accela) could pressure pricing and market share, particularly in permitting, licensing, and specialized departmental software.
- AI monetization remains early-stage with a 'slower ramp' expected given public sector adoption rates; near-term financial impact is still TBD despite strong client interest and buzz at Tyler Connect.

Additional Insights

- Tyler's Phase II Cloud Living initiative focuses on consolidating all core portfolio products to a single release stream with continuous delivery—management expects this to drive meaningful gross margin leverage, with more detail promised at the June Investor Day.
- A statewide digital motor vehicle titling deal won in Q1 '26 is expected to generate \$20M+ annually in transaction revenues at full ramp (starting H1 '27), but does not appear in current SaaS bookings metrics, understating true bookings strength.
- Internal AI efficiency gains are emerging—one appraisal/tax data conversion that previously took months was completed in weeks—but management characterizes these as still anecdotal and not yet systematically quantified.
- The For The Record (FTR) acquisition is Tyler's third-largest in history; ~70% of FTR revenues are software (SaaS + maintenance), with FTR itself undergoing its own SaaS transition expected to accelerate faster than Tyler's overall rate.
- The company's eight-year Strategic Collaboration Agreement with AWS and active partnerships with Microsoft underpin its cloud infrastructure strategy and could open additional revenue streams through the Tyler Platform Alliance.

SWOT Analysis

WarrenAI

Strengths

- Dominant market position with ~50,000 installations across 16,000 client locations, serving 22 of 25 largest U.S. counties and all 25 largest cities, with 98% client retention over 28 years.
- 88% recurring revenues (targeting 90%+) with 21 consecutive quarters of 20%+ SaaS growth, providing exceptional revenue visibility and predictability.
- Perfect Piotroski Score of 9, strong free cash flow (\$102.8M in Q1 '26, doubling YoY), and disciplined capital allocation including aggressive share buybacks (~2.5% of shares repurchased YTD).
- Deep public sector domain expertise and mission-critical product suite spanning ERP, courts, public safety, and tax—creating high switching costs that generic enterprise vendors cannot easily replicate.

Weaknesses

- 19 downward EPS revisions in the past 90 days and a PEG ratio of 4.61 indicate the stock trades at a premium relative to near-term earnings growth, limiting valuation re-rating potential.
- Moderate debt load increased materially with the \$1.44B convertible notes issuance; the company does not pay a dividend, limiting income-oriented investor appeal.
- Peak cloud flip activity not expected until 2027–2029, creating near-term revenue recognition lumpiness and execution risk during the multi-year SaaS transition.
- Legacy on-premise systems can present clunky user experiences, and integration of multiple acquisitions (FTR, Socrata, CSI) simultaneously introduces operational complexity and management distraction.

Opportunities

- Cross-sell expansion from ~3 products per customer to a target of 10–12 represents a multi-year organic growth engine within the existing 16,000-client installed base.
- State and local government IT spending is forecast to grow by over \$150B, with 50%+ of states increasing tech budgets in '25; federal devolution of responsibilities to state/local governments further expands Tyler's addressable market.
- AI-driven solutions (Tyler AI Foundry, Document Automation, agentic use cases) offer incremental monetization—e.g., a Miami-Dade Document Automation deal tripled the client's existing contract value to ~\$800K.
- Transaction-based revenue streams (payments, digital motor vehicle titling) provide high-margin, scalable growth; the global government software market is projected to grow from \$26.7B ('24) to \$35.6B by '29.

Threats

- Cybersecurity risks are elevated given Tyler's role as a critical infrastructure provider for government data; a significant breach (as occurred in 2020) could damage reputation and erode client trust.
- Government budget volatility, economic downturns, or political shifts (including DOGE-related federal spending changes) could delay procurement cycles and compress new bookings.
- Intensifying competition from Oracle, SAP, Infor, and cloud-native niche players (CivicPlus, Accela) could pressure pricing and market share in specific verticals like permitting and licensing.
- Evolving AI and data privacy regulations could increase compliance costs and slow product development timelines; geopolitical risks to software supply chains (e.g., SolarWinds-type attacks) remain an ongoing threat.

Earnings Call - Q1 2026

04/30/26 | WarrenAI

- Q1 '26 delivered record total revenues of \$613.5M (+8.6% YoY) and recurring revenues of \$538.6M (+10.4% YoY), with SaaS revenues up 23.5% to \$222.4M—the 21st consecutive quarter of 20%+ SaaS growth.
- Free cash flow more than doubled vs. Q1 '25 to \$102.8M, driven by strong AR collections and improved operating margins; full-year FCF margin guidance was unchanged.

Bullish Highlights

- CEO Lynn Moore expressed high confidence in the cloud transition: 'Hesitation in the past is really in the past'—public safety, historically slower to migrate, is now 'pretty much all 100% going to the cloud.'
- A statewide digital motor vehicle titling win is expected to generate \$20M+ annually in transaction revenues at full ramp in H1 '27, and was not captured in SaaS bookings, understating reported bookings strength.
- Document Automation (AI-driven) is gaining traction—a Miami-Dade deal was signed for ~\$800K vs. a prior \$250K maintenance contract; Harris County signed a ~\$1M deal, demonstrating strong AI monetization ROI.
- Socrata acquisition creates a 'judicial intelligence' market opportunity estimated at \$200M SAM, \$500M TAM, and potentially \$1.5B+ with audio/transcript monetization and international expansion.

- Full-year '26 revenue guidance was raised, with ~\$30M attributed to the For The Record acquisition and modest upside from transaction outperformance; EPS guidance saw a modest uplift.
- The company repurchased ~2.5% of shares outstanding YTD at an average price of ~\$315, with ~\$650M remaining under the current authorization.

Bearish Highlights

- AI monetization is expected to be a 'slower ramp' given public sector adoption rates; management acknowledged near-term financial impact remains 'TBD' despite strong client interest.
- Q1 '26 bookings, while strong, contained no large multi-million dollar SaaS deals; bookings can be 'lumpy' and the absence of large deals may not be sustainable every quarter.
- Peak on-premise flip activity is expected in the 2027–2029 timeframe, meaning meaningful ARR uplift from cloud migrations remains a multi-year story rather than a near-term catalyst.
- FTR acquisition integration presents operational challenges; ~30% of FTR revenues are hardware (declining), and the SaaS transition within FTR will take several years to fully materialize.

Q&A Highlights

- On SaaS flips: Management reiterated Tyler 2030 targets are unchanged, with flip volume expected to be higher in '26 vs. '25; the 80% cloud migration target by 2030 remains on track.
- On cross-sell: CEO corrected the target from 7–8 products per customer to 10–12, with state/federal sales team expansion (new strategic account managers, funded solution contracts in Oklahoma and Kansas) driving momentum.
- On R&D step-up: CFO Brian Miller noted R&D investment is balanced across AI and core portfolio innovation; some increase reflects a geography shift from COGS to R&D and reduced capitalization of development costs.
- On capital allocation: Management indicated continued opportunistic buybacks given confidence in Tyler 2030 FCF targets (\$1B+ by 2030), with ~\$650M remaining under the repurchase authorization.

Misses

- Despite beating EPS and revenue estimates, the stock declined ~1.96% in aftermarket trading to \$330.13, suggesting mixed investor sentiment possibly influenced by broader market conditions.
- No specific quantitative update was provided on the pace of on-premise flips in Q1 '26 or year-to-date, making it difficult for investors to track progress against the 80%-by-2030 cloud migration target.
- AI revenue contribution remains unquantified; management acknowledged wins (Document Automation deals) but stopped short of providing any near-term revenue guidance for AI-specific products.

Top News, last 60 days:

[Tyler Technologies closes \\$1.44 billion convertible notes offering due 2031](#)

May 14, 2026

- Tyler Technologies (NYSE:TYL) closed a \$1.44 billion convertible senior notes offering due July 15, 2031, with a 0.50% annual interest rate and initial conversion price of approximately \$405.94 per share (30% premium to \$312.27 closing price on May 11, 2026).
- The company received net proceeds of approximately \$1.41 billion after discounts and expenses, allocating approximately \$187.2 million to capped call transactions and approximately \$320.7 million to repurchase 1,026,900 shares.
- Capped call transactions increase the effective conversion price to approximately \$655.77 per share (110% premium to May 11 market price) to reduce potential dilution.
- Year to date, Tyler has repurchased approximately 2.1 million shares for approximately \$667 million under its \$1 billion share repurchase authorization.
- The stock trades at \$299.08, near its 52week low of \$283.71, down 36% over the past six months.

Importance - 6/10

Neutral

[Tyler Technologies Closes \\$1.44 Billion Convertible Notes Offering Due 2031](#)

May 14, 2026

- Tyler Technologies completed the sale of \$1.44 billion in convertible senior notes due July 15, 2031, increased from the initial amount after underwriters exercised their option to purchase an additional \$187.5 million in principal.
- The notes carry a 0.50% annual interest rate with an initial conversion price of approximately \$405.94 per share, representing a 30% premium above Tyler's stock price of \$312.27 on Monday, May 11.
- Tyler entered into capped call transactions that increase the effective conversion price to approximately \$655.77 per share, representing a 110% premium above the May 11 stock price.
- The company received net proceeds of approximately \$1.41 billion after fees and used \$187.2 million to fund the capped call transactions and \$320.7 million to repurchase 1,026,900 shares of common stock.
- Tyler has repurchased approximately 2.1 million shares for about \$667 million year to date under its \$1 billion share repurchase authorization.

Importance - 6/10

Neutral

[D.A. Davidson Maintains Buy Rating on Tyler Technologies Following \\$1.25B Convertible Notes Issuance](#)

May 13, 2026

- D.A. Davidson reiterated a Buy rating and \$460 price target on Tyler Technologies (NYSE:TYL), which trades at \$304.40, down 34% over the past six months.
- Tyler Technologies issued \$1.25 billion in convertible senior notes with a 0.50% interest rate maturing in 2031, settling on May 14.
- D.A. Davidson noted the debt issuance suggests the company anticipates larger acquisition targets may become available over the next one to two years.
- Tyler Technologies reported Q1 2026 earnings per share of \$3.09, surpassing the forecasted \$3.00, and revenue of \$613.5 million, exceeding the anticipated \$608.36 million.
- The company secured a contract with Riverside County Sheriff's Office to provide its Enterprise Corrections system for five jail facilities.

Importance - 6/10

Neutral

[DA Davidson Reiterates Buy Rating on Tyler Tech Following \\$1.25B Convertible Notes Offering](#)

May 13, 2026

- DA Davidson reiterated a Buy rating and \$460.00 price target on Tyler Technologies (TYL).
- Tyler Technologies issued \$1.25 billion in new convertible notes with a 0.50% interest rate and a maturity date in 2031.
- DA Davidson analysts believe the convertible notes issuance suggests Tyler Technologies expects larger M&A targets may come to market over the next 12 years, rather than funding acquisitions and share repurchases through free cash flow as previously expected.

Importance - 6/10

Neutral

[Tyler Technologies prices \\$1.25B convertible notes offering, up from \\$1B initially announced](#)

May 12, 2026

- Tyler Technologies priced \$1.25 billion in convertible senior notes due 2031 on Monday, May 11, 2026, increased from the previously announced \$1 billion offering, with a 0.50% interest rate and settlement scheduled for May 14.
- The notes have an initial conversion rate of 2.4634 shares per \$1,000 principal, representing a conversion price of approximately \$405.94 per share, a 30% premium over Monday's closing price of \$312.27.
- The company will use approximately \$162.8 million for capped call transactions to reduce dilution, approximately \$320.7 million to repurchase 1,026,900 shares in concurrent privately negotiated transactions, and the remainder for general corporate purposes.
- Tyler's stock has declined 33% over the past six months, with a market capitalization of \$13.17 billion.

Importance - 6/10

Neutral

[Tyler Technologies prices \\$1.25 billion convertible notes offering due 2031](#)

May 12, 2026

- Tyler Technologies priced \$1.25 billion in convertible senior notes due July 15, 2031, increased from previously announced \$1 billion, with 0.50% annual interest rate.
- Initial conversion rate is 2.4634 shares per \$1,000 principal, representing conversion price of approximately \$405.94 per share, a 30% premium over May 11 closing price of \$312.27.
- Tyler estimates net proceeds of approximately \$1.22 billion and plans to use \$162.8 million for capped call transactions, \$320.7 million to repurchase 1,026,900 shares, and remainder for general corporate purposes.
- Capped call transactions cap price initially set at approximately \$655.77 per share, representing 110% premium over May 11 closing price.
- Offering scheduled to settle on May 14, with initial purchasers receiving option to buy additional \$187.5 million of notes within 13 days of issuance.

Importance - 6/10

Neutral

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